

The background is a solid red color. It features faint, semi-transparent icons and logos related to digital technology and social media. These include a smartphone, a camera, a magnifying glass, a speech bubble, a Facebook 'f' logo, and the word 'Facebook' in a script font. There are also some abstract shapes like circles and rectangles. Two thick white vertical lines are positioned on the left and right sides of the page, framing the central text.

TO WHAT EXTENT HAS COVID19 PUSHED THE DIGITAL TRANSFORMATION:

AN IMPULSE DIGITAL REPORT

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FOREWORD

The global economy was going through a difficult phase when it got hit by the COVID-19. India was already consumed by the crisis of falling GDP and rising unemployment. The Indo-China border tensions adding to the sense of uncertainty. Moreover, the global indicators have suggested that the major global economies are going to be hit by the most significant recession in nearly a century.

Although the finish line for the road to recovery is still too far, the question that everyone has already begun to ask is: How different is the post-COVID-19 era going to be from the present one? The most tangible change is going to be of the adoption of digital technology and marketing across various sectors. We believe the acceptance of digitalization is going to be alike on both fronts – individuals and industries.

The digital consumption has grown two-folds with people being home bound for the last few months. The subscription revenues are facing a boom as people are getting more accustomed to online media and content. The sectors that are going to be more affected by the lockdown are the films and events industry as they rely on gathering of a crowd. The recovery of this sector will take a longer time than anticipated. Thus, consumers are left only with social media, online web content, and OTT as their primary source of entertainment and experience.

In conclusion, there will be a significant shift in the priorities as we continue to take the path towards the new normal. The balance between work life, family, wealth and well-being will be equated with the leisure of which online and social media is a huge part and will play essential roles in our lives.



INTRODUCTION

At present, many businesses are struggling to stay afloat, and marketing will play a pivotal role in their road to recovery. But moving forward let's understand (in numbers) how severely affected is the marketing and sales industry due to the virus? Is there a silver lining that they can hold onto? We have run through many websites and reports to compile comprehensive information on COVID19 hit marketing and sales industry.

Going by the data, we understood that the crisis had hit some industries far more severely than others. Businesses that are deemed essential are struggling to meet the demands, while the luxury and hospitality sectors have been hit the most. The other majorly hit industries are those who have still not accepted the modern ways of marketing and are stuck with traditional means. For example, the plug has already been pulled on many magazines and publications.

Read on for more such data and statistics that help you assimilate the current trends and standing of the marketing and sales industry.



COVID-19:

The Crisis and its Effects

The COVID-19 pandemic has brought upon a terrible experience for humans as well as the economy. There has been not only a loss of human lives in huge numbers but also a widespread economic hardship. The lockdown and the social distancing norms have harmed the sectors such as manufacturing, tourism and hospitality, and service industry. With such low levels of consumption and rising unemployment, the Indian economy has to brace itself for challenging times ahead.

During the lockdown, there has been a significant realignment of the online consumption models. Television, OTTs, online video games, and social media has gained more popularity. However, on the other hand, outdoor activities and consumption models are experiencing a downward spiral with all the social distancing norms.

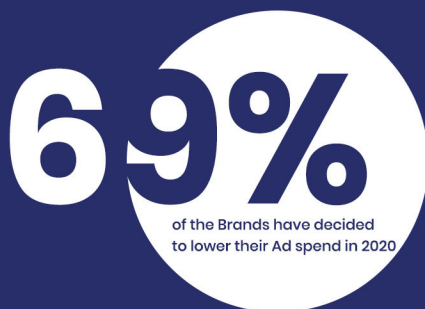
Although, television viewing has increased they are devoid of any fresh content. This has diverted the mass towards social media and OTTs. Through social media platforms they can not only connect to their friends and share media content but also keep a track on the latest happening around the globe.

IMPACT ON SEGMENTS

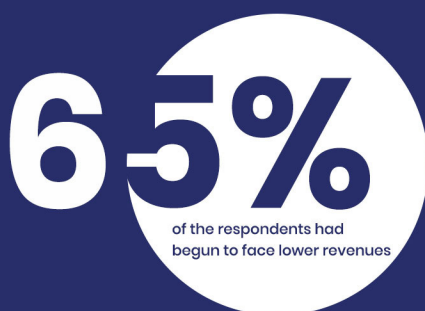


THE REPORT

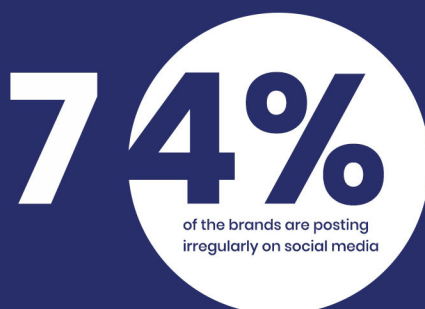
MOOD OF THE INDUSTRY



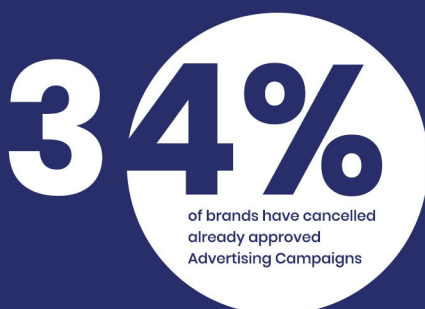
The survey that was carried out before the end of March indicated that the mood is not optimistic among the industry members. The prevailing uncertainties during that period made 69% of them to completely stop or take a break and decrease their ad spend for the remainder of the year. Most of them had their business in and around the lockdown zones, and it made no sense to continue with campaigns for products they can't sell.



Owing to the lockdown, 65% of the respondents had begun to experience a decline in the revenues since March. The others may have been deemed essential and continue to generate business, or there may be industries who are yet to face the brunt of the crisis.



There is no surprise on this statistic, as brands have slowed down their product postings on all social media platforms. However, it does not convey that the company has completely shut down its production and services. It just shows that they consider refocusing their strategy based on the current scenario of the market. The less frequent social media portrays that the companies are still hopeful and the postings may pick up once the situation is back to normalcy.



The COVID19 has had a significant effect on the already approved brand advertising campaigns. Going by the numbers, 34% of the advertisers suggested that they have cancelled a campaign altogether, 45% have stopped it mid-way, and 38% have paused their campaigns for the whole year. The remaining have continued with some tweaks on the budget spend.

THE SILVER LINING

1

Only 8% of consumers think brands should stop advertising. A survey of 35000 consumers was conducted by Kantar to study their views on brands continuing to advertise during the COVID lockdown crisis. Only 8% suggested the brands to stop all kinds of advertising. While 78% of the consumers believed that the brands should empathize with them, 75% indicated that this would keep them updated with what the brands are up to. On the other hand, 74% believe the brands should not exploit the crisis.

2

65% believe that advertising spend will be focused on media that commensurate sales

When asked about how COVID19 will affect the advertising industry? 65% of marketers believed that owing to Coronavirus pandemic; advertisers will focus spend on media that drives and generates sales.

3

As of July 2020, digital growth has been nothing but phenomenal. Out of the total worldwide population of 7.79 Billion, 3.96 Billion people are active social media users, which gives a penetration percentage of 51.

4

As compared to 2019, July 2020 witnessed a rise of 10.5% in the total number of active social media users, thanks to the lockdown. The digital acceptance among people is also on the rise with a 2.4% increase in smartphone users along with 8.2% rise in Internet users.

5

Owing to the lockdown, there has been a spike in the amount of daily time spent with media amongst users, be it any media or device. While 6H 42M daily are spent surfing the Internet, 2H 22M is spent using social media. People also confessed to spending around 1H 31M listening to music streaming services.

CONSUMER POINT-OF-VIEW



A consumer survey conducted in July 2020 suggested that 74% Indians were in favour of brands to continue to advertise as usual during the COVID-19 crisis as compared to the global average of 55%.



Only 4.4% of Females and 5% of Males strongly disapprove of brands continuing to advertise, while 18% of Females and 21% of Males strongly approve of brands advertising during the crisis.



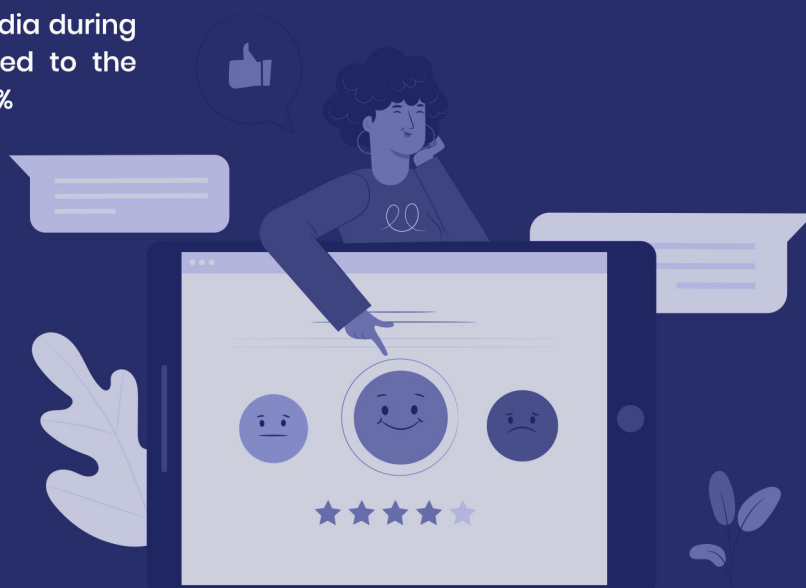
By the end of July, 33% of consumers suggested that they use search engines to discover new brands and products. At the same time, 31% found Ads on Television the best source followed by 27% word-of-mouth recommendations and 26% Ads on Social Media.



When asked about how they access social media, a staggering 99% of people claimed that they accessed social media through their mobile phones. On average, they spend around 2H 22M on social media every day.



India has witnessed a 59% growth on social media during COVID19 as compared to the global average of 43%



SOCIAL MEDIA PLATFORMS

FACEBOOK

Owing to the lockdown, people have more time on their hands than ever. The growing amount of uncertainty and the resulting stress and anxiety has led them towards social media. With stringent lockdown exercised in many places, people tend to use social media platforms to connect to their family, friends, and office colleagues through video calls, messaging and posting



Facebook revealed that users spend around 70% more time than before across their social media apps. The number of live videos has doubled, and the messaging increased by 50%.



Facebook witnessed a 50% surge in the usage of both of their messaging apps: Messenger and WhatsApp. Group calling saw a rise of 1000% in March.



Facebook Advertising is all about reaching the right audience. India garnered the highest potential Facebook advertising reach, a staggering 290 million people, a 4% growth from quarter to quarter. The USA followed India at 190 Million and Indonesia at 140 Million. The number of people that can be reached through Facebook adverts is 2.09 Billion.



The percentage of users who access Facebook only through mobile phone is 79.2%, while only 1.7% access the platform through a laptop or desktop. The remaining 19.1% of users access Facebook via both phones and computers.



The median number of times (each month) an 18+ user clicks on a Facebook Ad in India is seven as compared to the worldwide average of 13.



The post engagement rate for Facebook pages which have less than 10k fans lies at 0.67% till June 2020, while for more than 10k fans its around 0.14%



INSTAGRAM



Overall engagement on Coronavirus posts by Instagram Influencers have exceeded 2.9 Billion. CreatorIQ analyzed 1.4 Million Instagram Influencers' posts and found 466,175 posts tagged with #coronavirus, and they received engagement of 1,882,051,405.



The engagements received on public service announcement or useful social posts have exceeded 1.5 Billion on 480,000 posts. The most popular social good hashtag being #StayHome, which featured in 173,005 posts and 512,286,746 engagements.



According to Instagram, the number of people that can be reached through Instagram adverts is 1.08 Billion, out of which 18% are over the age of 13.



The Instagram Advertising Reach for India rose the largest compared to other geographies by 14% and lies at around 100 Million, second only to the USA at 130 Million.



The Instagram Business Account Benchmark shows that the business accounts witnessed a growth of 1.39% in the number of followers for their business pages. As far as posts are concerned, 62.7% were static photo posts, 23.6% were video posts, and 13.6% were carousel posts.



The post engagement rate for Instagram pages which have less than 10k fans lies at 1.06% till June 2020, while for more than 10k fans its around 0.56%



LINKEDIN



As of July 2020, 702 Million people can be reached through LinkedIn Adverts, out of which 13% are over the age of 18.



When classified in terms of gender, the percentage is as follows – 43% Female and 57% Male.



The LinkedIn Advertising Reach for India rose by 5% compared to other geographies and lies around 68 Million, second only to the USA at 170 Million.



37.5% of LinkedIn's advertising audience is male aged between 25-34 years old, while 26.1% of female audience lies in the age group of 25-34 years.



TWITTER



The Twitter conversation has increased during the whole of the pandemic lockdown period. COVID-19 was the most crucial topic of discussion from March till July 2020. Globally, the conversations around the topic grew by four times in March itself as compared to February.



As of July 2020, 326 million people can be reached through Twitter adverts, out of which 5.4% are over the age of 13. When classified in terms of gender, the percentage is as follows – 35% Female and 65% Male.



Although India lies third in the Twitter Advertising Reach falling behind only to the USA and Japan, it has witnessed the maximum growth compared to all other geographies, i.e. 29%.



The male Twitter users are the highest between the age group of 25-34 years and lies at around 21.4%. On the other hand, 11.1% of female users are between the age group of 18-24.



SNAPCHAT



As of July 2020, the number of people that can be reached through Snapchat adverts is 397 Million, out of which 6.6% are over the age of 13. When classified in terms of gender, the percentage is as follows – 61% Female and 38% Male



The Snapchat Advertising Reach for India rose by massive 20% (only Indonesia has grown more than India at 25%) compared to other geographies and lies around 33 Million, second only to the USA at 101 Million.



YOUTUBE



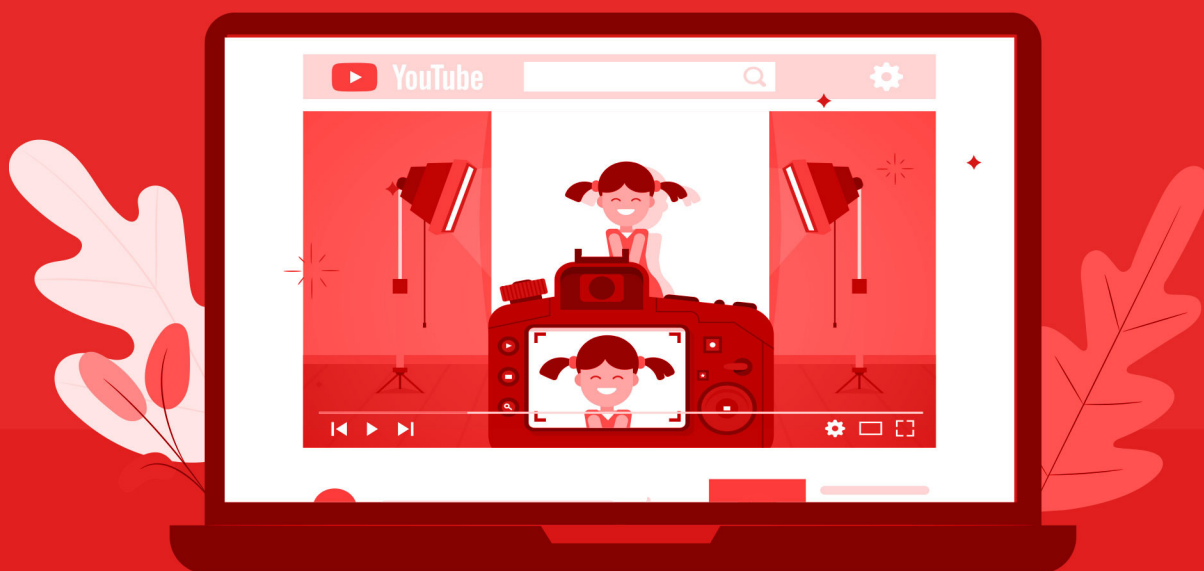
YouTube watching has seen a tremendous rise since the beginning of March. India post lockdown has seen a 20.5% surge in the subscribers' base. The average user spent around 4 hours daily on YouTube.



Worldwide the numbers are even more enormous. Over 2 Billion users logged-in YouTube every month with 33% forming the age group of 13+



45% formed the female base, while 55% formed the male group.



CONCLUSION

While industries with traditional media as source of marketing will face some challenges, those who have embraced digital media will fare better in the long term. Owing to the pandemic, the digital media integration into our daily lives is going to see an upward shift.

The pandemic lockdown and social distancing norms have completely changed the consumption model of the consumers. Be it entertainment or shopping, they turn towards a digital platform for everything. This has led the marketers to rethink and redesign their marketing strategies.

So, while a quick recovery is on the horizon and we look forward to put together all the broken pieces of our lives post COVID, much would have been changed around the world. It's up to us how quickly and efficiently industries adopt this inevitable digital transformation.





We are a digital marketing agency with 4+ years of experience. Our young and dynamic team will always have the best creative solution your digital marketing needs.

From Social Media Marketing Services to Search Engine Optimization to Pay Per Click services, we cover everything that's needed for widespread online presence of your brand.

Our focus is simple – make our clients' business grow using the digital media and let the impact be seen offline. With every job that we undertake; we guarantee an uncompromised level of accuracy and transparency. We want your message and approach to be understood by your audience on digital media.

If you would like to work with us, visit [**www.theimpulsedigital.com**](http://www.theimpulsedigital.com)



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